account. This entire process is generally completed within hours or a few days. Although one borrows against their asset in the form of gold and jewellery, it is a loan for a duration which attracts interest on the loan and an EMI repayment schedule.

Lenders have varying interest rates on gold loans and it depends on the purity of the gold and the value of what is being pledged. As a borrower, you need to know that the loan is being extended to you not based on the cost of the jewellery, but the value of gold, silver or diamond that is part of the jewellery. So, if you have paid a big sum on making charges and fancy design, it doesn't mean that it will be factored into the cost of the jewellery to arrive at its value when you pledge it to borrow money.

According to the RBI guidelines, banks and institutions can give a maximum of 90 per cent of the value of gold as a loan. However, most lenders extend a loan amount which could be lower than this value, making sure they have a good margin to fall back on. Lastly, gold loans are available for up to two years with a minimum six-month duration on the loan. It is for this reason that these loans are used often to meet emergencies and critical situations which call for monies to tide over a tough phase (See: *What makes gold loans popular*).

For lenders, especially institutions like banks, gold loans are safe loans as the possibility of this loan becoming NPAs (non-performing assets) is low. In case of delays and defaults on the gold loan, lenders have the option to sell the asset and recover the money. If you have borrowed pledging gold, you should make sure to pay the EMIs on time because the loan is against the gold you have given as collateral for the

